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This presentation includes certain forward-looking statements about our businesses and our prospects, new products, sales, expenses, tax rates, cash flows, prepublication investments and operating and capital requirements. Such forward-looking statements include, but are not limited to: the strength and sustainability of the U.S. and global economy; the duration and depth of the current recession; Educational Publishing's level of success in 2010 adoptions and in open territories and enrollment and demographic trends; the level of educational funding; the strength of School Education including the testing market, Higher Education, Professional and International publishing markets and the impact of technology on them; the level of interest rates and the strength of the economy, profit levels and the capital markets in the U.S. and abroad; the level of success of new product development and global expansion and strength of domestic and international markets; the demand and market for debt ratings, including corporate issuance, CDO's, residential and commercial mortgage and asset-backed securities and related asset classes; the continued difficulties in the credit markets and their impact on Standard & Poor's and the economy in general; the regulatory environment affecting Standard & Poor's; the level of merger and acquisition activity in the U.S. and abroad; the strength of the domestic and international advertising markets; the strength and the performance of the domestic and international automotive markets; the volatility of the energy marketplace; the contract value of public works, manufacturing and single-family unit construction; the level of political advertising; and the level of future cash flow, debt levels, manufacturing expenses, distribution expenses, prepublication, amortization and depreciation expense, income tax rates, capital, technology, restructuring charges and other expenditures and prepublication cost investment.

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3

Reaffirming guidance for 2010

- **Expect diluted EPS in the \$2.60 to \$2.65 range**
 - Expect to achieve high end of range
 - Excludes \$0.02 of one-time gains from divestitures
 - Includes \$0.02 of dilution from acquisitions

4

Outlook for 2011: Another year of growth

- **We will be building on a record of achievement in 2010**
- **Will provide 2011 guidance on Feb. 1, 2011 when 4Q earnings are announced**

5

Important actions in 2010 to prepare for 2011

- **Increased leverage and opportunities for growth in financial markets**
- **Strengthened Standard & Poor's ability to compete in more heavily regulated global ratings market**
- **Speeded migration of content from print to digital**
- **Expanded our growth opportunities in international markets**
- **Strengthened the management team to carry out our growth agenda**

6

New leadership at MHP

- **Jack F. Callahan, Jr. is the new chief financial officer of The McGraw-Hill Companies**
 - Most recently CFO at Dean Foods
 - Held senior management roles at PepsiCo, General Electric, and McKinsey and Company
 - Held financial and operational positions around the world including Asia and South America

7

Realigned Financial Services into two segments

1. **McGraw-Hill Financial: Combines business formerly labeled S&P Investment Services**
2. **Standard & Poor's: Our credit rating operation**

8

McGraw-Hill Financial

9

The strategy for McGraw-Hill Financial

- **Tested strategic concept for McGraw-Hill Financial since 2008**
- **New management structure to help integrate core capabilities and create innovative financial information products**
- **Successful new integrated product introductions**
 - Risk2Price
 - Credit Health Panel
- **Suite of products will help investors generate better investment ideas, manage risk more effectively, and control costs**

10

Continuing to build and expand at Capital IQ

- **Acquisition of TheMarkets.com enhances Capital IQ's ability to offer core data for buy side**
 - Earnings models
 - Estimates
 - Fixed income research
- **Capital IQ expects to:**
 - Add clients
 - Grow in domestic and international markets
 - Create cost synergies

11

Innovation at S&P Indices: Setting the stage for growth in 2011

- **78 new exchange-traded funds launched in 2010 through November**
- **284 exchange-traded funds now based on S&P indices**
- **In 2010, international exchange-traded funds have outpaced U.S.**
 - 47 new ETFs introduced outside U.S
 - 31 new ETFs introduced in the U.S.

12

Innovation at S&P Indices: Setting the stage for growth in 2011

- **Japan: First locally listed S&P 500 ETF began trading in Asia on the Tokyo Stock Exchange in October**
- **China: S&P has a license agreement with Bosera Asset Management to create ETFs in China next year using the S&P 500**
- **Europe: ETFs tracking the S&P 500 have grown from 30 to 55**
- **S&P indices form the basis of options and futures globally**
 - S&P-based contracts accounted for six of the top ten contracts as measured by total volume through August 2010

13

Innovation at S&P Indices: Setting the stage for growth in 2011

- **\$1.26 trillion in assets under management based on S&P indices**
- **S&P will continue to create indices that measure evolving markets and become the basis for new investable products**

14

How S&P Indices generates revenue

- Fees based on assets under management in investment vehicles like exchange-traded funds
- Royalties based on trading volume of derivatives contracts
- Data subscriptions which support index product management and portfolio analytics
- Index-related licensing fees

15

Standard & Poor's

16

Why S&P ratings is better positioned now to respond to regulators, markets

- **S&P has taken steps to:**
 - Improve ratings stability
 - Add value to ratings through more analysis and features
 - Increase comparability of ratings
 - Increase transparency of its processes
 - Add more checks and balances to the ratings process
 - Continue to educate the market on the ratings process and the role of ratings in financial markets

17

How S&P ratings has increased transparency

- **S&P now regularly provides more information about:**
 - The assumptions in its models
 - The use of “what if” scenarios
 - Stress tests
 - Economic scenarios for each rating category to illustrate the level of stress on an instrument before defaulting
- **S&P’s credit-risk benchmarks are forward-looking, comparable, stable, and supported by criteria, analytics, and research that make its independent ratings process more transparent**

18

How S&P has invested to meet new regulations

- **S&P has developed a control framework called QCCR**
 - Quality
 - Criteria
 - Compliance
 - Risk

19

The costs of creating a framework to deal with regulations

- **S&P spending for QCCR-related items**
 - 2009: \$63 million
 - 2010: Expect spending to increase by \$15 million to \$17 million
 - 2011: Expect spending to increase by \$12 million to \$15 million
 - Some of these investments are for systems that will help mitigate compliance costs in future years

20

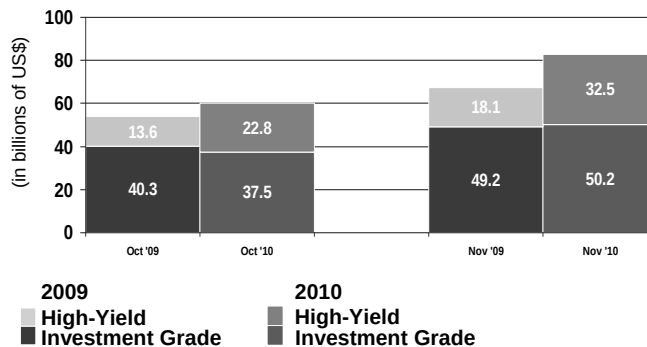
New insight into regulatory issues with passage of Dodd-Frank Act

- **Issues with various new rules are being resolved in ways that ensure clarity and that the market runs smoothly**
 - 17(g)5 exemption
 - Removal of 436(g) exemption and tension with Regulation AB requirements

21

Growth in October and November issuance

U.S. Corporates: High-Yield and Investment Grade



22

Source: Thomson Financial, Harrison Scott Publications, Standard & Poor's

Favorable market trends: Tightening credit spreads

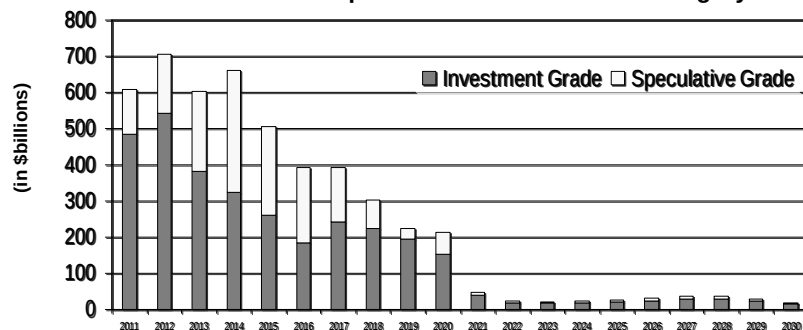
Basis Points	12/2/10	One Month ago	1/1/10	5 year Mvg Avg
Investment-grade composite spread	191	200	193	198
Speculative-grade composite spread	584	600	616	579

Source: Standard & Poor's Global Fixed Income Research

23

Favorable market trends: The outlook for maturing U.S. corporate debt

Total Investment-Grade and Speculative-Grade Debt Maturing By Year



Data as of Sept. 30, 2010. Includes bonds, loans, and revolving credit facilities. Estimates are likely biased on the high side because our tallies do not always take into account amortization schedules and loan paydowns. Additionally, revolving credit facilities are usually tallied at full value whether or not they are fully drawn. Includes all debt issued by U.S. companies and their foreign subsidiaries, both in U.S. dollars and foreign currencies. Foreign currencies are converted to U.S. dollars at the exchange rate on close of business on Sept. 30, 2010. Table does not include foreign companies issuing dollar denominated debt under the name of their U.S. subsidiary.

Source: Standard & Poor's Global Fixed Income Research

24

Favorable market trends expected to continue in 2011

- **Low interest rates**
- **Favorable credit spreads**
- **Increased debt funding in public market as banks deleverage**
- **Investor appetite for yield**
- **Growth of large local and regional bond markets led by India**
- **Continued growth of key emerging markets**
- **Modest improvement in structured market**

25

Latest developments on litigation front

- **Our assessment of legal risk facing the Corporation is unchanged**
 - We believe it is low

26

Latest developments on litigation front

- **Decisions on our motions to dismiss confirm that it is difficult to mount a legal challenge to ratings made in good faith**
- **Favorable ruling in case of Rice versus S&P and Moody's in October**
 - Federal district court in California dismissed complaint with prejudice
 - Court acknowledged ratings are opinions about the future and not actionable unless plaintiffs can demonstrate the rating agency did not believe the ratings to be true when given

27

Favorable decision in Pennsylvania state court

- **Last week, state court in Pennsylvania dismissed claims in four related cases brought by the Federal Home Loan Bank of Pittsburgh**
 - Underwriter claims dismissed
 - Negligence allegations dismissed on a variety of grounds
 - Strong First Amendment protections
 - Court relied on Judge Scheindlin's Abu Dhabi ruling from 2009 that ratings are afforded First Amendment protection when they are broadly disseminated

28

Favorable decision in Pennsylvania state court

- Court permitted only one narrowly circumscribed fraud claim to proceed in event plaintiff can prove a rating agency did not believe a rating it issued
- We dispute the claim and do not believe plaintiff can meet the high standard established by the court

29

Clear and unambiguous decisions from the courts

- **15 cases have been dismissed**
- **Six cases have been withdrawn**
- **Courts have ruled that:**
 - Rating agencies are not underwriters or sellers of securities
 - Ratings are opinions, not statements of fact
 - After-the-fact criticisms do not support an inference that rating agencies did not believe their ratings were appropriate when issued
 - Potential conflicts of interest regarding the business model were well known by investors
 - Investors were adequately warned of the risks and limitations of credit ratings, which are not buy, sell or hold recommendations

30

McGraw-Hill Education

31

New leadership at McGraw-Hill Education

- **Bob Bahash is the new president of McGraw-Hill Education**
- **As long-time McGraw-Hill CFO, Bob also:**
 - Spearheaded off-shoring activities in an effort to better control prepublication costs
 - Was in charge of manufacturing
 - Was responsible for information technology

32

A wealth of McGraw-Hill educational content already in digital form

- **More than 225 apps for the iPad, iPhone and Android now available from McGraw-Hill Education**
 - Deliver digital texts and medical reference guides, interactive study guides and test prep
 - 60 more apps are planned by 1Q 2011

33

The benefits of the digital world

- **New opportunities to connect content and manage digital assets globally**
- **In the digital world:**
 - No physical product
 - No printing and binding costs
 - No inventory or warehousing costs
 - No charges for shipping, no returns
 - No used books

34

How our customers benefit from an interactive and digital model

- **More digital resources becoming available for students**
 - Online practice sites
 - Classroom software for interactive whiteboards
 - “Clicker” response pads

35

Digital transformation is about creating educational solutions

- **McGraw-Hill Education is linking technology, content and delivery to transform the distribution, quality and utility of content**
- **All digital content is not equal**
 - Limited value to pouring existing content into a static file and adding a few features

36

McGraw-Hill Education is focusing on how students learn

- **Tailoring content and functionalities of our digital products to improve our customers' workflow**
- **Providing students and faculty with tools and resources that were never available before**

37

Creating sophisticated, adaptive learning programs

- **LearnSmart**
 - Based on cognitive research
 - Assesses a student's knowledge gaps and provides individualized study plans
 - Available online and accessible 24/7



38

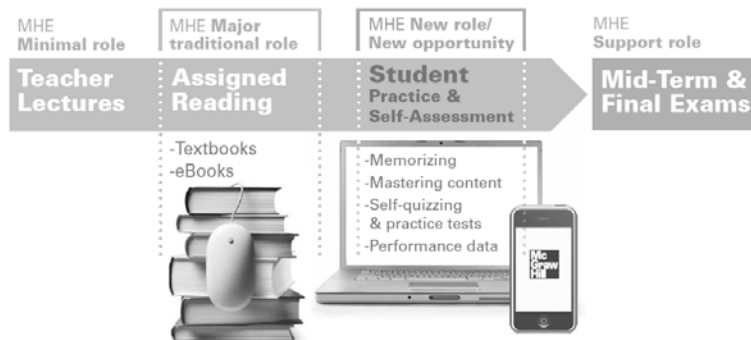
LearnSmart — the “virtual tutor”

- Recommends additional study for each student
- Lets the student know when a topic has been mastered
- Incorporated in McGraw-Hill Connect™, our all-digital assignment and assessment platform for higher education

39

Expanding addressable market by helping college students master coursework

McGraw-Hill's expanded role in the student workflow



40

Lecture capture — a new opportunity in higher education

- **Recently acquired Tegrity, a scalable, automated lecture capture service**
 - Core feature of McGraw-Hill Connect
 - Students can replay lectures and review material presented in classroom anytime, anywhere

41

Partnering to link technology, content and distribution to expand our reach

- **In July, became the first major publisher to partner with Blackboard**
 - Blackboard provides digital course management services to 80% of U.S. colleges
- **Instructors will be able to review and assign McGraw-Hill's e-textbooks and course materials through the Blackboard platform**
- **Single sign-on to McGraw-Hill Connect's content, tools, and resources to make teaching and learning more seamless and efficient**



Blackboard

42

A new search engine to customize course content

- **Recently introduced McGraw-Hill Create**
 - A Google-like search engine that enables instructors to customize quality content for courses
 - Instructors can tap a huge database of:
 - 4,000 textbooks
 - 5,000 articles
 - 11,000 readings
 - 25,000 business case studies

43

Expanding in digital and international markets

- **International Create e-bookstore is creating new opportunities in diverse markets**
 - Cairo: Arab Academy for Science, Technology and Maritime Transport has 36 titles on the Create e-bookstore
 - India: Pilot project is underway for a country-wide roll-out



44

Digital professional products are producing double-digit growth

- **Access suite of products in science, technology and medicine continues to attract new subscribers**
- **More than 90% renewal rate for AccessMedicine**
 - Department of Veterans Affairs licensed AccessMedicine at 162 medical centers
 - New international subscribers in Taiwan, Canada, and China
- **Digital products and services now account for about 15% of sales in U.S. higher education and professional markets**

45

More digital content for the el-hi market

- **Digital components are integrated into virtually every program we produce**
 - We offer multimedia packages
 - Mix of components varies by grade and subject

2011: We expect solid growth and a bigger percentage of business again from our digital products

46

Outlook for 2011 el-hi market

- **Difficult to assess prospects for overall education market at this time**
- **2010 el-hi market up 3.8% after ten months, according to AAP data**
 - Gain is based solely on results in state new adoption market
 - State new adoption market, at an estimated \$825 million to \$875 million, will grow between 65% and 75% over 2009

47

Outlook for 2011 state new adoption market is fluid

- **2011 could be even with or a little better than 2010 calendar**
- **Postponements reflect state and local funding pressures**
 - States include Alabama, Mississippi, North Carolina and West Virginia
- **Other states are scheduled to purchase in 2011 but funding is uncertain**
 - North Carolina has called K–12 reading and literature, although funding is uncertain
 - Texas is scheduled to purchase programs for seven subject areas
 - State Board of Ed. has recommended full funding but final appropriation by legislature might reflect some cuts

48

Federal funding: Another wildcard for education

- **Congress has yet to enact an education budget for new fiscal year, which started on October 1**
 - May have to wait until next session of Congress
- **Grants awarded in 2010 through the Dept. of Education's special programs are fully funded for their full terms and are not dependent on more federal appropriations**
 - Race to the Top
 - Investing in Innovation
 - School Improvement
 - Common Core Assessment initiative

49

A significant amount of the ARRA education money has not yet been spent

(\$ in millions)	Obligated (1)	Outlays (2)	Available (3)
State Stabilization	\$48,344	\$34,217	\$14,127
IDEA Grants to States	\$11,300	\$5,300	\$6,000
Title I	\$9,900	\$4,850	\$5,000
School Improvement Grants	\$2,822	\$14	\$2,808
Enhancing Education (E2T2)	\$647	\$203	\$444
Statewide Data Systems	\$250	\$2	\$248

(1) Binding agreements with grant recipients that will result in outlays

(2) Outlays are the reported amount of obligations paid (money spent) by grant recipients

(3) Obligated amount that has not resulted in a reported outlay to date

Source: U.S. Department of Education, September 2010

50

McGraw-Hill Education: Prospects for 2011

- **Federal funds could give intervention and testing a boost**
- **Host of factors will impact the higher education market**
 - Federal funding
 - Enrollments
 - Student retention
- **Will have an assessment of 2011 prospects when 4Q earnings are announced**

51

Information & Media

52

Information & Media: Growing digitally and globally

- **Subscription-based B2B businesses with leadership positions in the markets they serve**
- **With the sale of *BusinessWeek* about one year ago, the transformation has become evident in I&M results**
 - Operating margin rebounded into high teens
 - More than 60% of the Business-to-Business Group's 2010 revenue is digital and growing
 - We will continue to develop digital products and services and improve productivity in energy, construction, marketing and aviation

53

Research and distribution of information is increasingly digital at J.D. Power

- **Traditionally, J.D. Power and Associates' surveys were done by mail**
 - 2010: 82% of syndicated studies collected data using online methods
 - Includes recent syndicated study on retail banking in 16 cities in China
 - 100% of syndicated studies results were distributed by clients online through the new J.D. Power Business center
 - None were delivered online three years ago

54

Strengthening global coverage across multiple commodities

- **Platts publishes more than 8,500 prices each day**
 - More than 100 are used by the industry as key price benchmarks
- **Platts continues to launch new price assessments in oil, gas, petrochemicals, and metals**
 - Sets the stage for more growth in 2011

55

Outlook for 2011: The McGraw-Hill Companies

- **More growth in digital revenue from:**
 - McGraw-Hill Education
 - Information & Media
 - McGraw-Hill Financial
- **Expansion in international markets**
- **Another year of growth for
The McGraw-Hill Companies**

56



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